

Quarterly Investment Report

Q2 2021 - Thames Water UPS (Closed Section)

Portfolio Summary

Asset Class	Allocation	Performance (Q)	12m Performance
LDI	58.0%	-0.41%	+5.01%
Credit	21.9%	+1.67%	-2.92%
Equities	10.4%	+0.60%	-0.73%
Property	6.9%	-1.49%	+1.50%
Cash	8.3%	+0.84%	+4.99%

Market Commentary

During Q2 2021, gilt yields moved by approximately -1bp across the curve. The scheme's LDI programme continued to deliver its hedging objective with a tracking error within the agreed tolerance band.

The Investment Manager has maintained a neutral positioning against the benchmark, with a modest overweight to investment-grade credit reflecting attractive spread levels.

Compliance with SIP

All allocations remained within the tolerance bands specified in the Statement of Investment Principles throughout the quarter.